

HEDGEYE DAILY DIGEST

Monday, 14 September 2026 (GMT+8)

Hedgeye enters the week positioned squarely **long inflation** — and increasingly, not long America. Its Street-high nowcast has **August CPI at ~3.5%** versus consensus in the low **3.4%**, another **~10bps** acceleration into September, and a Q4 run-rate near **3.76% y/y**, which is why Keith McCullough has been shorting long-duration Treasuries, Utilities and Industrials while adding commodities, energy and select international equity exposure. The nuance heading into this week: with the **UST 10yr** pinned against the top end of its Risk Range at **4.98%** — the same shelf yields stalled at in 2023 — the rate-sensitive shorts (**TLT, ZROZ, LQD, JOJO, XLU**) have been cut back to **minimum size**, and **Silver (SLV) was sold outright**. This is not a change of thesis; it is a change of size.

Weekend gap note: Hedgeye does not publish Saturday or Sunday. "Today" covers the most recent publishing day — **Friday, 11 September (EDT)** — plus the **ETF Pro Plus Weekly Report** filed Sunday evening EDT, which lands **Monday 14 September 06:09 GMT+8**. "Yesterday" covers **Thursday, 10 September (EDT)**.

TODAY'S PUBLICATIONS

EARLY LOOK — "Front-Running the Fed's Inflation Problem"

Early Look · Ryan Ricci · 11 Sep 08:04 EDT (11 Sep 20:04 GMT+8)

Ricci's framing is that the market has no working inflation model, and that this is the entire edge. New Fed Chair **Kevin Warsh** has refused to give forward guidance while insisting he will "listen to the markets" — with the caveat that he is serious about inflation: *"We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do."* Which, as Ricci dryly notes, **is guidance**. The practical translation: the forward path of inflation now dictates the path of rates.

That puts Hedgeye's nowcast — published weekly and projecting a full month ahead of the print — at the centre of the process. The numbers: **August at 3.5%** against a market consensus of **3.36%–3.43%**, versus a prior month of **3.36%**. Both Hedgeye and the Street see acceleration; Hedgeye simply sees more of it. For **September**, Hedgeye carries a further **~10bps** acceleration while the Street has inflation flat. For **Q4/December**, Hedgeye has inflation roughly flat from there — sticky and high — and the Street has **no forecast at all**.

The market is not blind to the risk, it is just pricing it reactively. The **2-year yield** — the Fed front-runner — has been making **cycle highs and higher highs** inside a bullish TRADE and TREND, which Ricci calls one of the most bullish signals available in macro. The performance ledger follows directly: **working** — commodities (oil and ags), energy equities, long rates / short bonds, select international; **not working** — Russell 2000, Growth, Momentum, Industrials, Retail, China Tech, Bonds, Utilities. Hedgeye's book mirrors that list almost exactly, including a long in **Colombia (COLO)**.

The caution is the pendulum. Markets habitually price in **more hikes than will happen**, then swing to pricing **more cuts than will happen**, because they extrapolate the last print rather than model the next one. Hedgeye's commitment is to flag the turn when the signals turn. For now, **long inflation is where the alpha is**. Tactically, with **Crude Oil and rates both at the top ends of their ranges** into the print, Hedgeye had already been paid on short bonds and **XLU**, sold some at the highs, and sits at minimum size in wait-and-watch mode.

Investment implication: stay long the inflation complex — commodities, energy, short duration — but respect that rates are short-term overbought at the top of the range. Size, not direction, is the variable this week.

Risk Range™ Signals — 11 September 2026

Asset	Low	High	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.75	4.98	Bullish
High Yield (HYG)	78.25	79.20	Bearish
Investment Grade Corp Bonds (LQD)	104.1	105.8	Bearish
S&P 500 (SPX)	7565	7730	Bullish
NASDAQ Composite (COMPQ)	25799	26501	Bullish
Russell 2000 (RUT)	2875	2970	Bearish
Health Care (XLV)	163	175	Bullish
Tech-Software (IGV)	99	111	Bullish
Oil Services (OIH)	415	440	Bullish
Volatility Index (VIX)	14.33	18.77	Neutral
U.S. Dollar Index (USD)	98.40	99.67	Bearish
WTI Crude Oil (WTIC)	88.51	102.99	Bullish
Natural Gas (NATGAS)	2.71	2.99	Bullish
Gold Spot (GOLD)	4275	4503	Bullish
Copper Spot (COPPER)	6.35	6.84	Bullish
Silver Spot (SILVER)	61	66	Bearish

KM'S TOP 3 THINGS — RATES / GOLD / VIX

From The Desk · Keith McCullough · 11 Sep 07:25 EDT (11 Sep 19:25 GMT+8)

McCullough opens with a shot at the late arrivals: *“Every Macro Tourist on the planet is now ‘worried’ about inflation and Bond Yields – thanks for coming out...”*

Rates. Bond yields have been signalling this bullish TRADE and TREND breakout for a long time, alongside Hedgeye’s Street-high CPI nowcasts. The number that matters is the top end of the **UST 10yr** Risk Range at **4.98%** — precisely where yields stopped going up in **2023**. A close at a higher high than that puts the **5.29%** level of **2007** back in play, the level that had McCullough calling for the **2008** crash. Against that, he has **covered the core rate-sensitive shorts — TLT, ZROZ, LQD, JOJO, XLU — down to MIN position sizes**, with yields signalling short-term **#overbought**. His line on Treasury: *as opposed to Bessy’s dreams, the Bond Market is the real “house.”*

Gold. The primary risk-management concern for Gold — yields ripping into an accelerating CPI print — is now rear-view. Looking forward, to take Gold up from **MIN** size he needs it to recapture its immediate-term TRADE momentum level of **\$4,380**. The same signalling process got Hedgeye out of **Silver (SLV)** on time and kept it in **Gold Miners (GDX)**, which carry stronger Signal Strength than the metal itself.

VIX. On the **4th straight down day** into a macro event risk everyone saw coming, Macro Tourists panic-bought SPY puts, taking short-dated Cal Vol **from 10 to 20** and pushing implied vol on SPX to a **+58% premium** to 30-day realised. SPX immediate-term TRADE resistance sits at **7670**. **Russell 2000 (IWM)**

remains Bearish TRADE and TREND.

Immediate-term Risk Ranges: **SPX 7565–7730; UST 10yr 4.75–4.98%.**

MOMO TRACKER — MAG7 (-0.2%), TSLA=BEARISH, SKEW STEEPENING

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 11 Sep 08:30 EDT

The headline carries the signal: **Mag7 down 0.2%, TSLA flipping to BEARISH, SKEW steepening and fragility rising**, with **6 of 9** tracked Risk Ranges showing **upside greater than downside**. The dashboard body is chart-based rather than narrative, but the composition is consistent with the week's other work — index-level calm masking deteriorating breadth and a rising cost of tail protection. Note that Momentum Stock Tracker uses the Risk Range signals as published that morning and does not reflect intraday updates.

MACRO SHOW SUMMARY NOTES — FRIDAY 11 SEPTEMBER

The Macro Show · R. Patrick Kent & John McNamara · 11 Sep 10:10 EDT

Bullish: Bond yields/rates, Brent, WTI, Natural Gas, **Gold Miners (GDX)**. **Bearish:** Russell 2000 (IWM), U.S. Dollar.

RPK opened on the bullish rate setup, bullish since roughly early July, with CPI elevated but the live question being whether it is strong enough to force a more aggressive Fed. The **4.98%** 10-year level was again the focus. The key positioning change was defensive: **core rate-sensitive shorts cut to minimum size ahead of CPI**, described as prudent given rate-sensitives had become oversold while yields signalled overbought — **TLT was already bouncing post-print**. McNamara flagged the reset as an opportunity to rebuild those shorts if signals turn.

On metals, **Silver was exited** — “the process working as intended” — while **Gold sits at minimum** pending a recapture of **4,380**, and **GDX is retained** on superior signal strength. On energy, RPK pushed back hard on mechanical demand-destruction narratives, citing an unusually large **Dubai-over-Brent premium** as evidence of physical tightness, with a binary conclusion: either Dubai comes down sharply or **Brent has further upside**.

The most notable new thread was **high yield credit**. Keith had previously moved HY to neutral and RPK believed it may have turned **bearish that morning** (unconfirmed). **HY spreads widened to roughly 266bps**, with corporate yields up **~12bps** the prior day. The team argued public HY is structurally “cleaner” than historically because weak issuers have migrated to private credit — but flagged **CCC paper yielding around 15%** as evidence of stress further down the stack. The small-cap/high-yield linkage makes the bearish Russell setup more consequential, not less.

Finally, RPK's **energy-adjusted liquidity** framework: higher oil drains liquidity because the economy gets no extra output for a costlier barrel. With crude elevated and refined products stronger still, he compared the setup to **2022**, when energy-adjusted liquidity was negative and **60/40 had an unusually poor year**. The point is not that 2022 repeats, but that the stock-bond negative correlation cannot be assumed.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD

Capital Allocation Pro · McGroarty / Nanai / Salem · 11 Sep 08:46 EDT

Housekeeping-heavy. The most recent **Model Portfolio changes went into effect on closing prices of Tuesday 8 September**. A new **Key Callouts video** was recorded **10 September**. Trend and Tail levels for the **68 ETFs** in coverage were refreshed on **28 August** closing prices, on the standard 3–4 week cycle. Ticker substitution: **BNO (Brent)** and **USO (WTI)** added to tracking; **MBB** and **PFF** removed from coverage — itself a small tell on where the team sees relevance.

ETF PRO PLUS — 8 NEW CHANGES

ETF Pro Plus · 11 Sep 14:14 EDT

Adding Long: US Free Cash Flow (VFLO), Brazil (EWZ). Adding Short: India (INDA), US Dollar Bullish (UUP). Removing Long: US TIPS (VTIP), Metals Mining (ICOP), Natural Gas (UNG). Removing Short: Technology Momentum (PTF).

The pairing is instructive: shorting **UUP** while shorting **INDA** is a bet on a weaker dollar that does *not* extend to every emerging market — Brazil in, India out. The **UNG** removal confirms the natural gas TREND break discussed Thursday.

SIGNAL STRENGTH STOCKS — 61 STOCKS (3 ADDED, 12 REMOVED)

Signal Strength Stocks · 11 Sep 15:03 EDT

Added: META, MRVL, AAPL. Removed: DGX, SXT, GTBIF, TGT, SN, FRPT, FCX, TSCO, GO, CAH, FSK, SNDL. A **12-for-3** net removal is a meaningful narrowing of the single-stock signal list, consistent with the deteriorating breadth flagged all week. The adds are notably mega-cap tech; the removals skew defensive, staples, retail and small/specialty names.

ETF PRO PLUS — WEEKLY REPORT

ETF Pro Plus · 13 Sep 18:09 EDT (14 Sep 06:09 GMT+8)

The refreshed weekly book, priced through **13 September**, runs **23 long** and **13 short** positions. On the long side the inflation tilt is unambiguous: **Physical Gold (AAAU) \$42.85**, **Gold Miners (GDX) \$97.10**, **Oil Services (OIH) \$420.67**, **Physical Uranium (SRUUF) \$19.40**, **Wheat (WEAT) \$26.25**, **Corn (CORN) \$19.92**, plus short-duration credit in **BUXX**, **CLOX** and **CLOZ**. Healthcare appears twice (**XLV \$165.36**, **FXH \$129.66**), software once (**IGV \$101.52**), and the international sleeve now spans **Colombia (COLO)**, **Spain (EWP)**, **Singapore (EWS)**, **South Africa (EZA)** and **Brazil (EWZ)**. **Bitcoin (IBIT) \$43.77** sits in the commodities bucket.

The short book is the mirror image: **TLT \$80.87**, **ZROZ \$57.80**, **LQD \$104.32**, **JOJO \$14.85** across duration and credit; **XLU \$42.39**, **XLI \$172.37**, **PRN \$201.67** and **JOET \$45.45** across rate-sensitive and momentum equity; **JETS \$28.17** and **PBD \$17.53**; and **INDA \$48.57** plus **UUP \$28.07** as the newest additions.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — “Betting \$1T On Inflation Accelerating”

Early Look · Keith McCullough · 10 Sep 07:39 EDT (10 Sep 19:39 GMT+8)

What: McCullough's note on a proposed **\$1 trillion** taxpayer-funded deficit spend paying out **\$5,000 per American**, set against a dollar at three-month purchasing-power lows.

Why: The argument is that fiscal expansion into an already accelerating inflation cycle is being rejected by the bond market in real time. He contrasts Treasury's “I am the house” rhetoric with what he calls the **Big House — the US Treasury bond market**.

Who: Keith McCullough; references to **Dave Portnoy** as the extended metaphor for confidence without a model; Treasury Secretary (“Bessy”).

Key numbers: **US Dollar Index \$98.91**, near three-month lows with the **Japanese Yen still Bullish TREND**. **UST 2yr at 4.44%** ramping to new inflation-cycle highs with the top of the Risk Range at **4.50%**. **UST 10yr at 4.86%** with the range top at **4.89%**. Nowcast: inflation **re-accelerating from July's 3.36% y/y** for both **August and September**, and toward **3.76% y/y in Q4 2026**.

Takeaway: Own **BUXX** and **CLOX** rather than long-duration Treasuries. **TLT** remains one of the largest shorts alongside **ZROZ**, **LQD** and rate-sensitive **XLU**. “*ROC numbers > political narratives. 100% of the time.*”

MACRO SHOW SUMMARY NOTES — THURSDAY 10 SEPTEMBER

The Macro Show · Keith McCullough & Ryan Ricci · 10 Sep 10:34 EDT

What: The fullest articulation of the current book. **Bullish:** Energy/OIH, Healthcare/XLV, Software/IGV, Singapore **EWS**, Colombia **COLO**, South Africa **EZA**, Natural Gas **UNG**, Gold **AAAU**, Bitcoin, Corn, Wheat, **META**. **Bearish:** **TLT**, **ZROZ**, **XLU**, **XLI**, momentum industrials, **GOOGL**.

Why: Absent real deficit reduction, spending is inflationary; pushing the yen higher means a weaker dollar and more inflation. The **CRB commodity index made a new cycle high**, reinforcing the nowcast toward **~3.74% headline in Q4**.

Who / what changed: **Singapore was bought** (including on the pullback), **New Zealand exited** after breaking **TRADE**. **Corn and Wheat added**, corn on the prior day's decline. Sector signal strength ranked **Energy #1, Software #2, Healthcare #3** — all held long. Google and Meta were used to illustrate signal-over-narrative: previously long **GOOGL** / short **META**, then out of Google and short it, then **META flipped from short to long**.

Key numbers: 2-year upside area **~4.50%**, 10-year range top **4.89%**. **SPX TRADE ~7,662** — below it, no real-time buy alerts for three days. Roughly **80% of S&P constituents down** in the prior session. The “**Industrials Most Short**” hedge-fund basket **-4.1%** while **high-beta momentum +2.4%** — a painful reversal for active managers. High-retail-sentiment basket **-1.4% d/d, -2.3% m/m**. **Russell 2000 broke to Bearish TRADE and TREND** and McCullough explicitly did **not** buy the dip. **UNG** held at the **1% minimum** with **Henry Hub 2.64** as the stop after breaking **TREND**. **Oil: ~\$88 WTI TRADE, \$84 TREND**, with the Oil Signal targeting **\$99.91**. **Gold at minimum, TRADE 4,380** — add above, stop the increment below. **Bitcoin Bullish TRADE and TREND and more bullish than Gold**, buy dips, **~\$75,000 TRADE / \$70,000 TREND**.

Takeaway: The single most important line of the week — McCullough's **last seven newly added positions, out of 27 total, were not U.S. equities**. Capital is rotating out of U.S. credit risk, small caps, high-dividend and quality (the July **Quad 4** winners) because **the regime is no longer Quad 4**. He is also explicit that persistent inflation and rising hike expectations could eventually force the Fed into a **policy mistake** — which

would in turn become the catalyst for cuts. That is a later trade, not this one.

MOMO TRACKER — AMZN=BEARISH, TSLA=NEUTRAL, GAMMA=NEUTRAL

Momentum Stock Tracker · 10 Sep 07:42 EDT

What: Dashboard flagging **AMZN flipping BEARISH, TSLA to NEUTRAL, gamma neutral, breadth negative**, and **momentum +2.4% against a market down 0.48%**.

Takeaway: The momentum bounce was a low-quality reversal — losers outperforming winners against deteriorating breadth — which is exactly the factor whipsaw McCullough described as punishing active managers.

ETF PRO PLUS (1 CHANGE) & CAPITAL ALLOCATION PRO DASHBOARD

ETF Pro Plus / Capital Allocation Pro · 10 Sep 09:57 & 09:28 EDT

What: A single ETF Pro adjustment and the routine Capital Allocation dashboard refresh, both operational rather than thesis-changing. **Takeaway:** No incremental signal beyond the positioning already described above.